

report

May 1, 2025

I selected the LogNormal AFT model as the best fit for predicting customer churn, based on its lowest AIC score (2960.11). The model reveals that churn is significantly influenced by factors like age, customer category, internet and voice subscriptions, and marital status. Interestingly, subscribers with internet or voice plans are more likely to churn, which may point to pricing issues or dissatisfaction with service. On the other hand, being older, married, or retired tends to increase customer lifetime.

When I calculated Customer Lifetime Value (CLV), the most valuable segments turned out to be older, married customers with longer tenure, especially those in the “Total service” or “Plus service” categories. Surprisingly, customers without internet or voice add-ons had higher predicted CLVs — possibly because those who add more services expect more, and leave if disappointed.

Assuming that 20% of subscribers are at risk of churn and the average CLV is around \$1,000, I’d recommend a retention budget of about \$200 per subscriber — totaling \$200,000 per 1,000 customers.

To reduce churn, I suggest focusing on high-CLV customers, especially those in premium service categories. It’s also worth exploring why customers with internet or voice services leave — maybe offering bundles or improving service quality could help. Finally, I recommend targeted outreach (like emails or calls) to younger or unmarried subscribers, who appear to be more at risk.